

Employee Performance Review (EPR) - Global Performance Management Process

Agenda

- What is performance management and why it matters?
- Employee Performance Review: Overview
- EPR Process steps and overall ratings
- Feedback
- Next steps



What is Performance Management and why it matters?

Performance management is the **set of performance evaluation and optimization processes** that guide employees towards **achieving company objectives**.

Performance Management ensures alignment of our teams

Performance management enables consistency of our efforts:

- We understand the company's **goals**
- We define consistent **criteria** to determine **our standards of success**
- We understand **our contribution** and its impact

Performance management provides a framework to develop employees:

- We define our **key performance outcomes** and measure ourselves against the targets
- We ask for and receive **feedback** during the year
- We are in the position to **adjust our performance and our behaviors** over the course of the year
- We recognize **positive performance** and promote our four **distinctive behaviours**



What are the key features of Performance Management at ENG Group?

Within the ENG Group, our annual Performance Management process is called **Employee Performance Review (EPR)**

ONE GLOBAL PERFORMANCE MANAGEMENT



Employees in each country and legal entity are able to speak the **same language globally** and leverage **the same Talent processes** and **data**

360° CONTINUOUS FEEDBACK CULTURE



Feedback can be given at **any time** amongst employees, independently from hierarchies. **Feedback** should be requested at the **end of each project assignment**

FAIRNESS & EQUITY



We want all our employees to **feel accepted, valued and able to reach their full potential**. The effectiveness of the EPR process is linked to adopting an approach as objective as possible, **mitigating any biases or prejudices** and applying **consistent evaluation criteria** independently from gender, background, disability, sexual orientation etc.)

MAIN DRIVER FOR COMPENSATION DECISIONS & TALENT DEVELOPMENT



PERFORMANCE IS ABOUT THE «WHAT» AND THE «HOW»



We consider performance **holistically**. Everyone's contribution is recognized against the **outcomes and results achieved** (WHAT) as well as the observable **behaviours, demonstrated** on the daily job (HOW)

How Performance Management is linked to our Strategic Narrative: the 4 Strategic Drivers guide us in identifying 2024 goals (WHAT?)...

MOST MEANINGFUL SOLUTIONS

We must create **solutions** that make a **material difference** to our clients and their customers.

To do this we will expertly **combine bespoke products, off-the-shelf technologies** to create the most meaningful solutions for their current and future needs.

MOST IMPACTFUL ADVISORS

We must get in a position to **co-create our clients' best future**.

To do this, we need to be on the inside at a level where we can truly understand their **strategic challenges and opportunities**, not just stated needs. We will strengthen our credibility and capability to operate brilliantly at this level.

FUTURE PROOF – FOUNDATIONS

We must enable our people to do their **very best work – confidently and together**.

To do this we will create a highly **effective operating model**, simplified processes and future ready technologies

BEST TALENT GROWTH

We must be the **best place for people to grow** and realize their ambitions.

To do this, we will become the **best place to build future-proof skills and capabilities** and accelerate careers (tech and non-tech), all within a framework of **empowerment and accountability**



... And to our 4 distinctive Behaviours| The “HOW”

THINK BOLD

- **Thinks big** and challenges the status quo to pursue continuous improvement;
- **Demonstrate ambition** to ensure their actions have the greatest impact;
- Leverages **creativity** and lateral thinking to successfully face increasing challenges ;
- Seeks **innovating solutions** based on experience and learn from mistakes ;

OWN IT

- **Seeks alternative solutions** with a proactive approach, does not focusing on the issue per se ;
- **Anticipates problems** or needs in order to better organize activities, even at times of challenging.
- **Takes responsibility** for their actions and decisions, upholding commitments;
- **Heps the team** even when not required to do so;

TALK STRAIGHT

- Communicates with clarity and openly faces challenges;
- Provides **constructive feedback** based on observation;
- Embraces feedback without judgement
- Admits their mistakes

MAKE EACH OTHER BETTER

- Demonstrates openness and readiness due constructive dialogue, in order to learn from and with others;
- Appreciates the value of working with colleagues and adopts an **inclusive approach** to make everyone part of the solutions;
- Is aligned to the company mission and is eager to learn and enhance their skills;
- Takes every opportunity to grow talent – in our teams with our peers and across their business;



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Employee Performance Review | Process milestones

ALL 3 STEPS ARE MANDATORY AND EACH STEP IS REQUIRED TO PROGRESS TO THE NEXT ONE

Beginning of Performance Cycle
Q1

1

GOAL SETTING

Employee and Manager Set
Goals for the Performance
Cycle

- Individual Goals can be supported by Organisational Goals or related to behaviours
- Manager can cascade goals to employees in their teams
- Goals are agreed during a 1:1 between Manager and Employee

Middle of Performance Cycle
Mid-year (June/July)

2

MID YEAR CHECK - IN

Employee and Manager
review progress against goals
and behavioural expectations

- Manager requests feedback on Employee
- Manager provides a quick evaluation: on track/off track
- Check-in takes place during a 1:1 between Manager and Employee

End of Performance Cycle
(Q4- Q1 of next year)

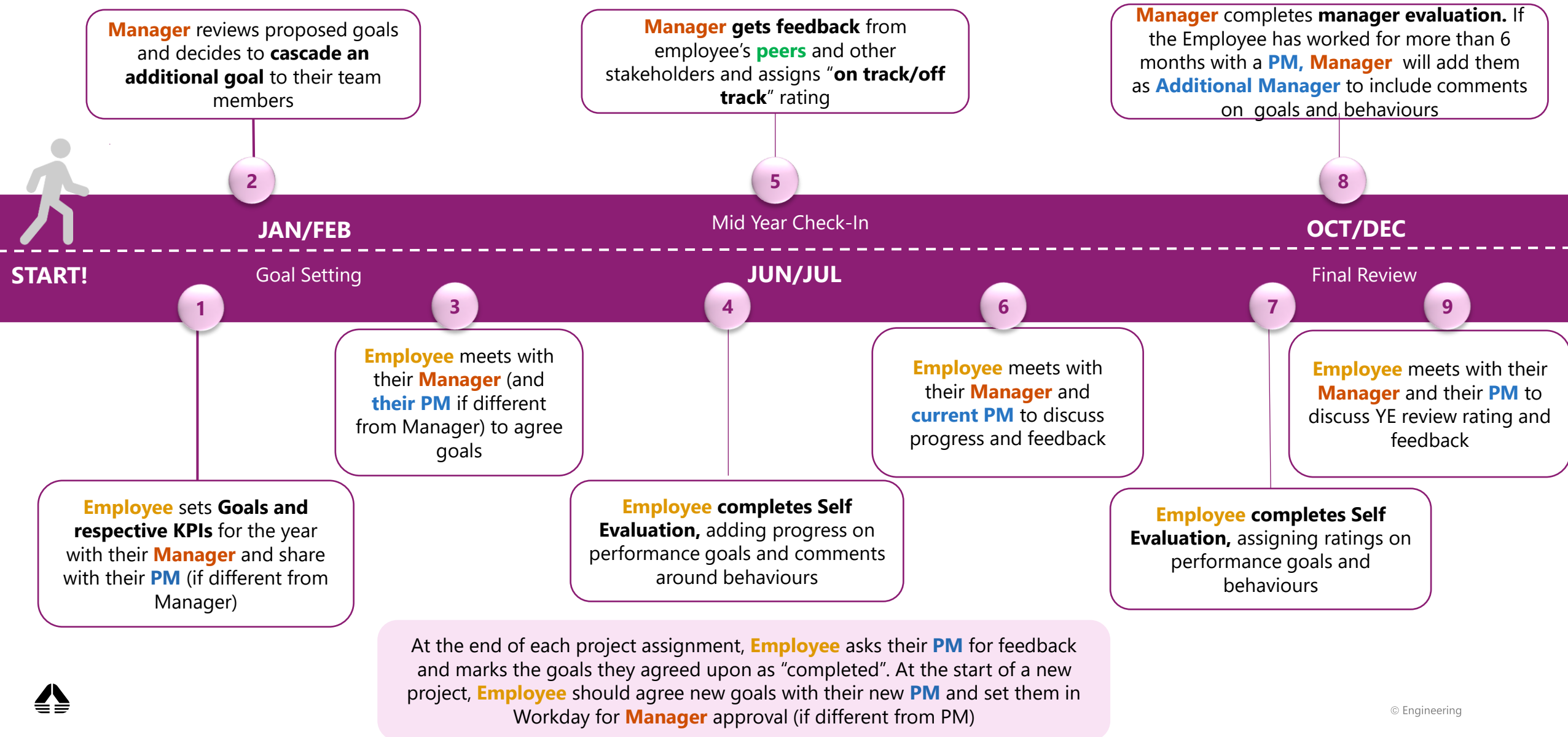
3

FINAL REVIEW

Employee and Manager rate
performance against goals
and behaviours

- Manager requests feedback on Employee
- Additional Manager is involved as needed
- Managers calibrate their team's ratings by band
- Rating and feedback are shared during a 1:1 between Manager and Employee

Typical Employee Experience| Functional Analyst / Software Development example



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2024 Employee Performance Review | WORKDAY, our new People Experience

The image displays two screenshots from the Workday platform. The left screenshot shows the login interface with the Workday logo, fields for 'Nome utente' (username) and 'Password', an 'Accedi' (login) button, and a 'Modifica password' (change password) link. The right screenshot shows the user profile for 'MARIA LAURA PISANELLI', identified as a 'Generic job'. The profile includes a sidebar with navigation options: Summary, Job, Compensation, Pay, Contact, Personal, and Performance. The 'Performance' option is highlighted with a red box. To the right of the sidebar, there are tabs for 'Goals', 'Competencies', 'Performance Reviews', and 'Disciplinary Actions'. The 'Goals' tab is active, showing a 'Create Goal' button and sections for 'Individual Goals', 'Archived Goals', and 'Organization Goals'. Under 'Individual Goals', there is a section for 'In Progress Goals' featuring a goal titled 'PROVA' with a 'Due Date' of 31/10/2023 and an 'Organization Alignment' section. An 'Edit Goal' link is also visible.

View «**Performance**» section on your Workday profile

Panel with tasks and My Meta support (info clouds on pages)

The screenshot displays a user interface with a dark sidebar on the left and a main content area on the right. The sidebar contains a search bar at the top, followed by icons for Phone, Email, and Team. Below these are icons for Summary, Job, Benefits, Compensation, Pay, Contact, Personal, Performance, and Career. The main content area has tabs for Goals, Competencies, and Performance Reviews. The Goals tab is active, showing a button for 'Archive or Unarchive Goals' and a sub-tab for 'Individual Goals'. A section titled 'In Progress Goals' contains a goal card with the text 'Ensure a strong leadership and talent pipeline to accelerate present and future business...'. The card also shows a due date of 31/12/2024 and an organization alignment with 'BEST TALENT GROWTH'.

Search

28 2

Actions

Phone Email Team

Summary Job Benefits Compensation Pay Contact Personal Performance Career

Goals Competencies Performance Reviews

Archive or Unarchive Goals

Individual Goals Archived Goals More

In Progress Goals

IN PROGRESS

Ensure a strong leadership and talent pipeline to accelerate present and future business...

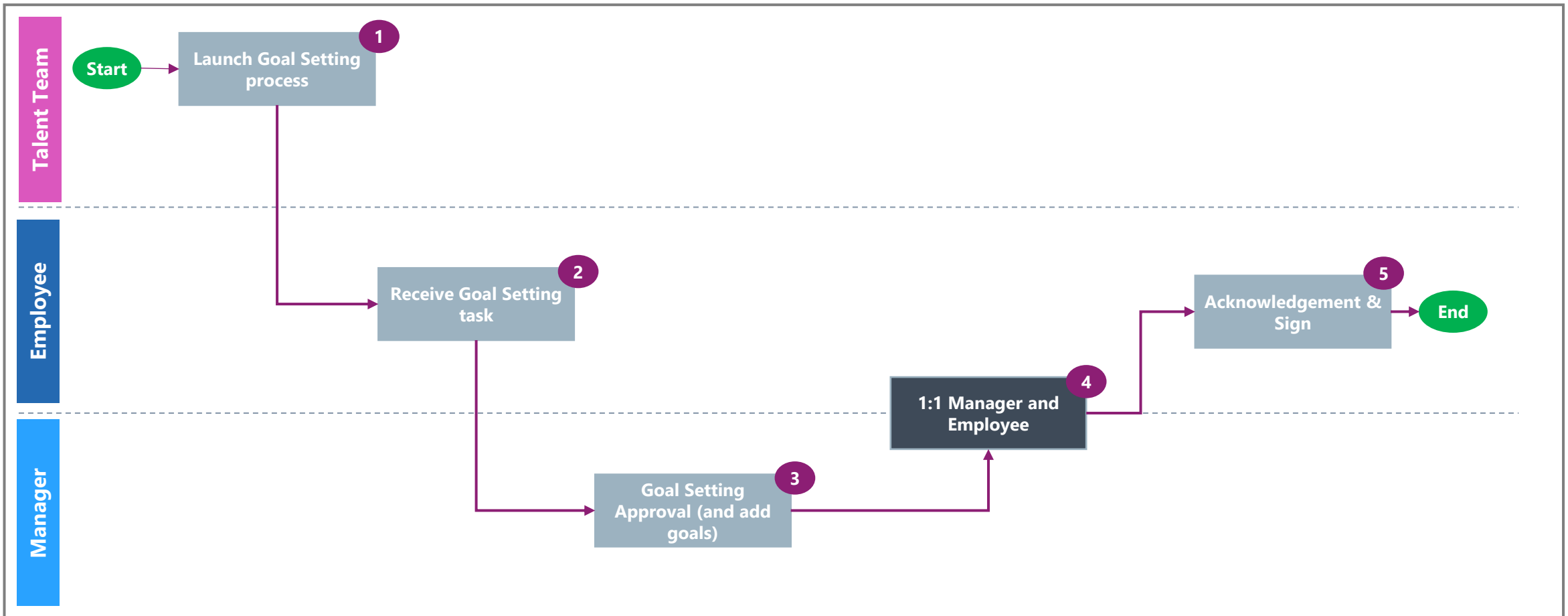
Due Date 31/12/2024

Organization Alignment BEST TALENT GROWTH

Goal Setting| Process Flow



Step managed in Workday
Step managed outside Workday



Goals` Library on Engage: Available to all to copy or amend

	MOST IMPACTFUL ADVISORS	MOST MEANINGFUL SOLUTIONS
SOLUTION DEVELOPMENT, MULTICHANNEL DEVELOPMENT, SOLUTIONS	Adherence to expected quality levels for a specific project and verification of results. KPI: 1. Number of findings attributable to development less than X. (parameterized to software size)Number of anomalies detected by Best Practices control tools less than X.	Innovation in technical solutions KPI: 1. Propose and implement at least X solutions based on new technologies (Cloud or Low Code\No Code) in a project.
	MOST MEANINGFUL SOLUTIONS	MOST IMPACTFUL ADVISORS
INFRASTRUCTURE SERVICES	Service effectiveness and efficiency of ticket management - change - incident - customer documentation (nr activities closed - managed): measured by monthly SAL/feed-back customer KPI: 1. % of tickets out of SLA "normalized" with case exclusions (e.g. for Geocall queue, Remedy, Service Now, etc.) in year < to xx% of total tickets handled. 2. Back Up data with errors/delays < to xx%. TKT management with errors/delays < to xx%.	Minimize negative customer findings with respect to punctuality and quality of planned activities on assigned projects KPI: 1. Adherence to planned timelines on the Gantt and agreed methodologies and best practices. 2. Absence of negative feedback raised during monthly SALs with the MS/CPM/Customer.



Goal Setting| hints & tips

- Consult **the job library** in Workday to get inspired from our list of standard goals defined for each job role
- Set up **five to six goals** for the performance year, including **one development goal**
- Set all goals in a **SMART** way, meaning all goals should be:
 - ✓ Specific
 - ✓ Measurable
 - ✓ Achievable
 - ✓ Relevant
 - ✓ Time-bound
- Discuss your proposed goals and development needs with your **line Manager** during a dedicated **1:1**



Mid - Year Check In | hints & tips

The Mid - Year Check In is **an opportunity for Managers and Employees** to discuss progress against goals and behaviours and define actions to support their achievement;

During this stage **Employees** should:

- Give **feedback** and assign **badges** to coworkers and colleagues
- Agree with their Manager(s) a list of people to get feedback on their performance - suggested at least 2;

During this stage **Managers** should:

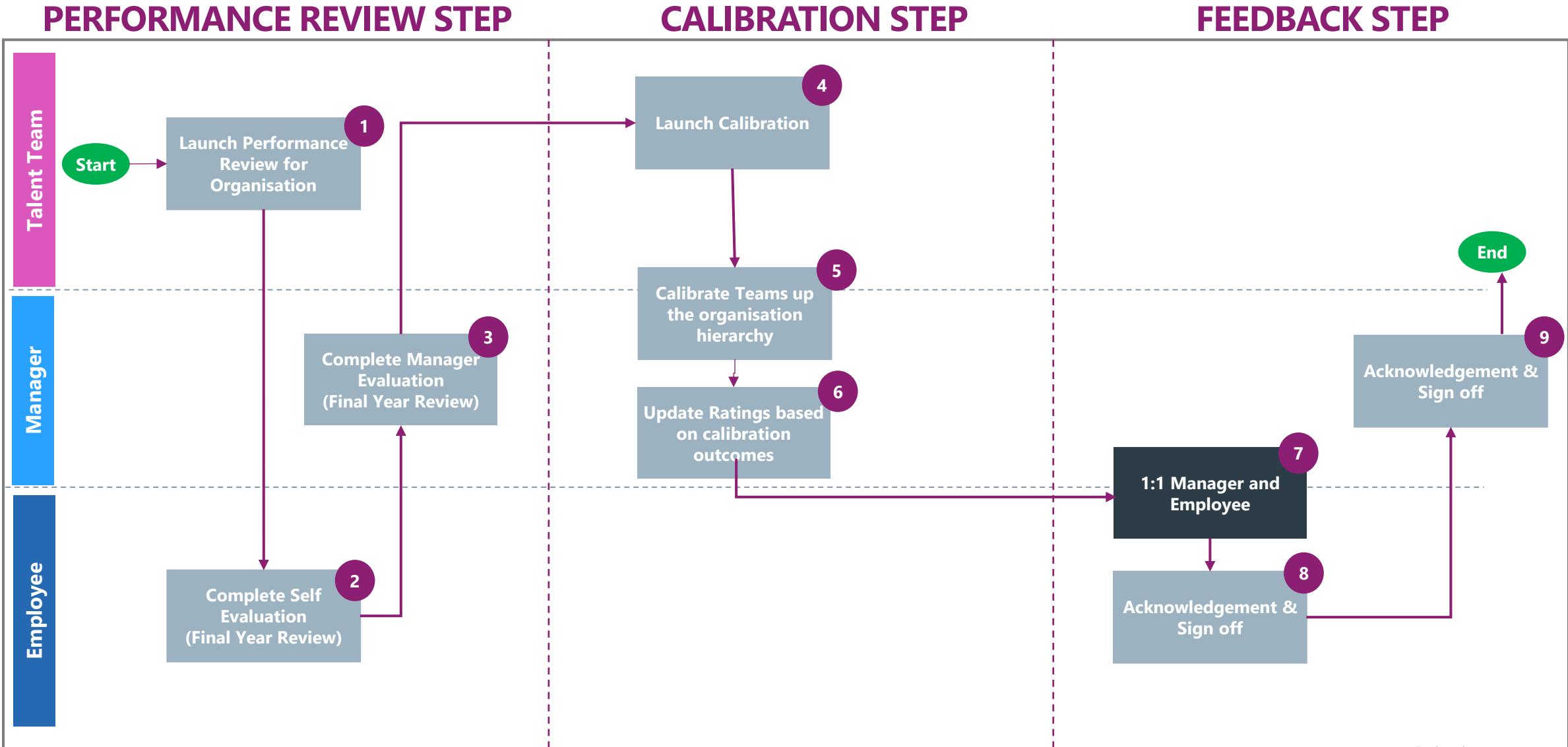
- Provide a quick evaluation: **on track/off track**, to ensure no surprises at the end of the year
- Schedule a **1:1 meeting** with the Employees in their teams to discuss the status of performance and behavioural expectations and check progress.





Step managed in Workday
Step managed outside Workday

Final Review | Process Flow



Final Review| Performance Rating Scale (What?)

For 2024, we have provisionally set the rounding rule of the applied rating scale as follows. The rounding ranges refer to the final performance rating, as derived from the weighted average of the ratings on individual objectives

The rounding rules may change in the future and will be communicated to all employees before the Final Review commences

0 – 1,5	1,6 – 2,5	2,6 – 3,5	3,6 – 4,5	4,6 - 5
SIGNIFICANT GAP	NEEDS TO DO MORE	MEETS HIGH EXPECTATIONS	EXCEEDS EXPECTATIONS	ROLE MODEL
You have not ensured continuity and solidity in achieving many set goals. Significant gaps in your performance are evident. The skills gap should be managed.	You have only partially achieved the set goals and contributed, only in part, to satisfying company expectations. You have skills that need to be developed and addressed.	You have contributed significantly to the good performance of the company by acting with quality and reliability. You met high expectations and performed really well in achieving challenging goals.	You have made an important contribution and made a difference in achieving business results. You have demonstrated an exceptional level of performance, achieving challenging goals and consistently exceeding Company expectations.	You have contributed to the achievement of standards of excellence for company performance. You are a role model, able to lead changes and seize opportunities to innovate.



Final Review| Behavioural Rating Scale (How?)

Behavioural rating expresses how often a certain behavior is observed. The rounding ranges refer to the final behavioral rating, as derived from the average of the ratings on individual behaviors (all of which have the same weight)

The rounding rules may change in the future and will be communicated to all employees before the Final Review commences

FREQUENCY OF OBSERVATION	DESCRIPTION
RARELY 0 - 1,5	The employee rarely shows the behaviour in action; colleagues observe it inconsistently
SOMETIMES 1,6 – 2,5	The employee sometimes shows the behaviour in action; colleagues observe it on some occasions
OFTEN 2,6 – 3,5	The employee shows the behaviour in action on a recurrent basis; colleagues observe it on several occasions
VERY OFTEN 3,6 – 4,5	The employee shows the behaviour in action very frequently ; colleagues observe it on most occasions
CONSISTENTLY 4,6 - 5	The employee shows the behaviour in action consistently ; colleagues see them as role model of this behaviour



Final Review / Performance Overall Scale (Performance + Behaviours = Overall Rating)

The **overall rating** is given by the **weighted average** of the **performance rating** (60%) and **the behavioural rating** (40%).

The **final overall rating** will be **visible to the Employee only during the feedback step**, once the calibration has been concluded.

Goals Scale

Section weight: 60%

SIGNIFICANT
GAP

NEEDS TO DO
MORE

MEETS HIGH
EXPECTATIONS

EXCEEDS
EXPECTATIONS

ROLE MODEL

+

Behaviours Scale

Section weight: 40%

RARELY

SOMETIMES

OFTEN

VERY OFTEN

CONSISTENTLY

=

Weighted Average score

Rounding: 1 Significant Gap

0 – 1,99

Rounding: 2 Needs to do more

2 – 2,99

Rounding: 3 Meets High Expectations

3 – 3,89

Rounding: 4 Exceeds Expectations

3,90 – 4,59

Rounding: 5 Role Model

4,60 - 5

Rounding rules are shared on Engage with all employees.



Final Review| Overall Rating Scale

The overall rating is given by the mathematical average of the performance rating (50%) and the behavioral rating (50%). The reference scale has the same labels as the performance rating scale . The final overall rating will be visible in the evaluation form only during the feedback step, and in any case at the conclusion of the calibration step (see next page)

The rounding rules may change in the future and will be communicated to all employees before the Final Review commences

0 – 1,5	1,6 – 2,5	2,6 – 3,5	3,6 – 4,5	4,6 - 5
SIGNIFICANT GAP	NEEDS TO DO MORE	MEETS HIGH EXPECTATIONS	EXCEEDS EXPECTATIONS	ROLE MODEL
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Final Review | What is Calibration and how it works?

WHAT IS CALIBRATION?

1. Calibration is when **Managers compare the relative performance of their Employees in the same band (as defined by the job architecture)**
2. Through calibration, **final annual performance ratings are reviewed and potentially redefined**, based on consistent and common criteria, ensuring fair and objective evaluation mechanisms for the entire population.
3. **The trend of each team's annual performance can be seen through the "overall rating distribution curve"**, where the final ratings of each team member are placed (calibration output).
4. Calibrations take place prior to the feedback moment between Manager and Employee

HOW DOES CALIBRATION WORK?

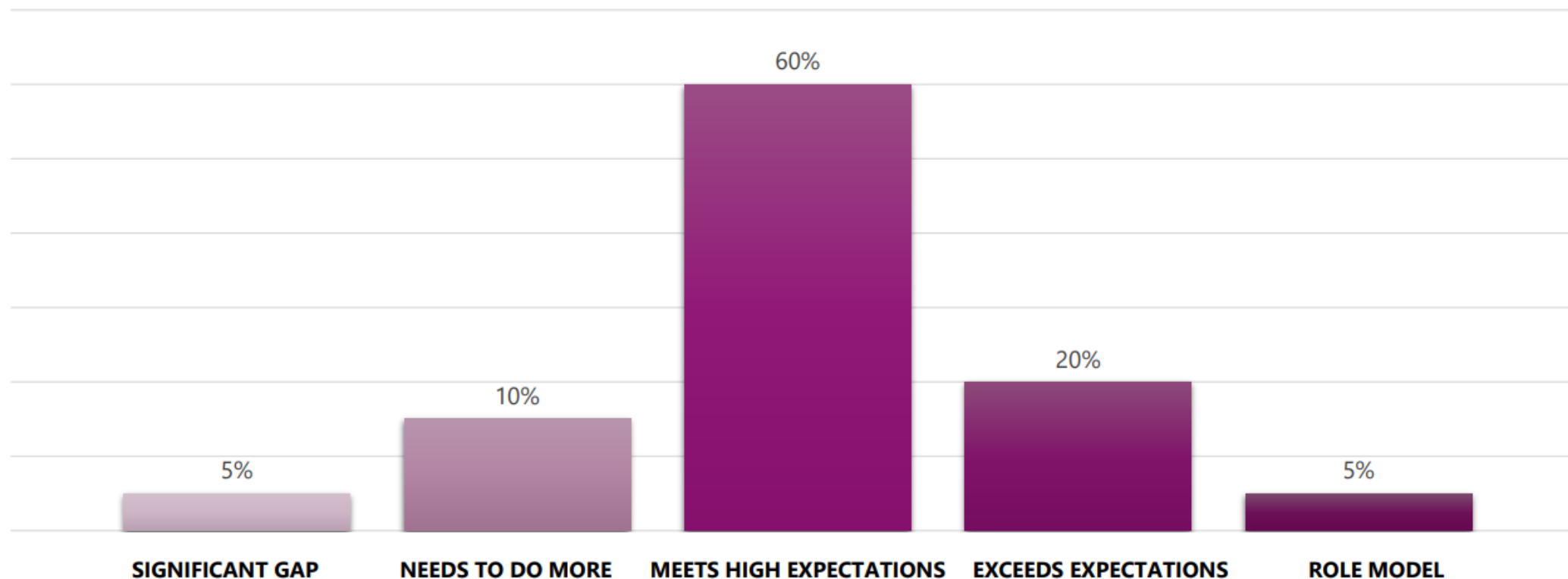
1. To calibrate their populations, **Managers will analyze the overall distribution curve of performance appraisals on Workday, as resulting from the Manager Review of their teams**
2. During the calibration discussion, Managers can **adjust the distribution curve** based on consistent performance appraisal criteria and ensure **differentiation of performance** within the team, focusing on both the "what" and the "how."
3. It is important to begin with the **"tails" of the curve** (underperformers and outstanding performers), to confirm the evaluation criteria applied and consider potential changes.



Calibration / Ideal Distribution Curve (final overall rating)

The ideal distribution curve applies to each reference band.

Each ExCo member is responsible for the distribution of the overall EPR ratings in their BU/ Staff function.



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Feedback | The correct use

FEEDBACK HAS TO BE

SPECIFIC: feedback is not a general judgment about the person ("You never do..."), but refers to a specific situation

DESCRIPTIVE: feedback describes the behaviour acted by the person and the effects it produced

SUPPORTIVE: feedback should contain suggestions on how the person can improve their performance



Feedback | Hints & Tips to give and receive feedback

Giving performance feedback



1. Be **specific**, come prepared with relevant examples
2. Focus on **professional behaviours and future actions** – things an employee can do something about
3. Avoid referring to personality traits
4. Be **honest** and **respectful**
5. Allow for response

Receiving performance feedback



1. Come **prepared** with relevant examples of your performance
2. Assume **positive intent**
3. Be open to **different perspective**
4. Explain – do not get angry or defensive
5. Be **curious** - ask for more context if needed

Feedback | How can employees reinforce feedback on a peer?

- In Workday it is also possible to **assign one or more badges** to any Engineering colleague
- Badges are **“recognition medals”** related to our 4 distinctive behaviors
- There is **no limit** to the number of people you can request/assign feedback or badges to
- Feedback/badges are tools that can be used throughout the year, preferably **in reference to specific tasks/projects** in which you have participated
- Assigning a badge helps to **recognize the behavior of colleagues** by creating a positive reinforcement mechanism.
- Therefore, it is important to **associate the badge with clear and comprehensive feedback**
- Badges should be considered to **support evaluation by the Manager** where they are accompanied by descriptive feedback based on concrete observation of behaviors



THINK BOLD



OWN IT



TALK STRAIGHT



MAKE EACH OTHER BETTER

Engineering Albania: Next steps

- System testing during January 2025
- Confirmation of WD reporting lines and functional managers for all employees
- Introduction of My Meta (technicalities to be confirmed)
- Global activation of *Create goal* task (Feb 2025- to be confirmed)
- Creation of goals in Workday system by all employees
- Overall close supervision and coordination by NS HR Manager, with full support of global HR and IT team, with Elona`s coordination at Eng Albania level



